Tata Consumer Products Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

Tata's food and drinks company: Tata Tea, Tata Salt and Tata Coffee, plus 'growth businesses' such as Tata Sampann (pulses, dry fruits, cold-pressed oils), ready-to-drink (Himalayan water, Tata Copper+), Capital Foods (Ching's, Smith & Jones) and Organic India. It also sells tea abroad (Tetley in the UK, US, Canada), runs coffee plantations and soluble coffee, and owns half of Tata Starbucks.

- Market cap about Rs 1,08,464 cr: one of India's biggest consumer companies.
- Q2 FY27 consolidated revenue up 14% (about Rs 700 cr added), EBITDA up 18%, net profit Rs 470 cr, up 16%.
- Consolidated EBITDA margin 14%, up 0.4 points: costs grew slower than sales.
- H1 FY27 revenue close to Rs 11,000 cr, up 13%; adjusted EPS up 21%.
- Valued at about 66 times earnings: the market already prices in a lot of growth.

2. Concall coverage

Quarter / source	Date	Read?
Q1 FY25	Aug 2024	Yes (skimmed)
Q2 FY25	Oct 2024	Yes (skimmed)
Q3 FY25	Feb 2025	Yes (skimmed)
Q4 FY25	23 Apr 2025	Yes (skimmed)
Q1 FY26	Jul 2025	Yes (skimmed)
Q2 FY26	Nov 2025	Yes (skimmed)
Q3 FY26	Jan 2026	Yes (skimmed)
Q4 FY26	May 2026	Yes
Q1 FY27	Jul 2026	Yes
Q2 FY27	26 Oct 2026	Yes, in full

Ten calls across about two and a half years. The latest call was read in full; earlier calls were read for promises and results.

Latest concall highlights - Q2 FY27 (26 Oct 2026)

- Revenue up 14%, India business underlying volume growth 11%; EBITDA up 18% and margin up 40 basis points to 14%.
- Growth businesses up 40% to close to Rs 1,400 cr and now 38% of the India business: Sampann up 57%, ready-to-drink up 47%, Capital Foods and Organic India up 15% (domestic up 24%, exports hit by shipping and the Mundra port strike).
- Tata Salt volume up 9%, revenue up 15% after price rises (Rs 30 to 32 in May, Rs 34 in October); market share close to 40%. India tea volumes flat and revenue down 1% after weather and a weak industry; tea prices raised about 8-10%.
- India margin contracted on tea and salt inflation; price increases start feeding in from Q3. Management still aims for margin expansion for the year (it started the year guiding 50-70 basis points).

- Starbucks revenue up 15% with a fifth straight quarter of same-store growth; 505 stores, with faster openings promised. 22 new products in the quarter, AI rolled out to the sales force.

Business mix & capacity

- Domestic vs export: India business plus an international branded business of close to Rs 1,300 cr in the quarter (UK, US, Canada, South Africa) and a non-branded plantation and soluble coffee business.
- Capacity: utilisation not disclosed.

3. Earning trigger thesis

The earnings story is the growth businesses (Sampann, ready-to-drink, Capital Foods, Organic India), which grow much faster than tea and salt, have higher margins as they scale, and are now bigger than either salt or tea and coffee on their own. Price increases in tea and salt should help margins from Q3. It's already showing in the numbers. The soft spots are India tea volumes and Capital Foods/Organic India exports.

Trigger	What management said	Evidence so far	Time horizon	Strength
Growth businesses	Growth businesses to be 30% of India business (FY24-25 calls)	28% in FY25, 31% in FY26, 38% in Q2 FY27	Ongoing	Strong
Capital Foods and Organic India	25-30% growth guidance	FY26 combined growth only 8% (shipping disruption); 35% in Q1 FY27, 15% in Q2 FY27	FY27	Moderate
Price increases in tea and salt	Calibrated price increases to cover inflation, feeding in from Q3	Salt revenue up 15%; tea pricing about 8-10% taken	Q3-Q4 FY27	Moderate
Sampann margin	Margin expanding as it scales	About 2.7-2.8 points better than a year ago	Ongoing	Moderate

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Not stated
New business	Yes	'Growth businesses up 40%, now contribute to 38% of India business' (Oct 2026)
Margin up	Yes	'EBITDA growth was ahead of top line at 18%... a 40 basis point margin expansion' (Oct 2026)
New management	No	Same MD & CEO, CFO and COO on the call
New capacity	No	Not stated
Big orders	No	Not applicable
Turnaround	No	Ready-to-drink 'having reset the entire business' is now growing, but small
Promoter buying	No	Not stated

Single concrete driver: Growth businesses (Sampann, ready-to-drink, Capital Foods, Organic India) growing about 40% and now over a third of the India business, with their margins rising as they scale.

3c. Margin bridge

Consolidated EBITDA margin was 14% in Q2 FY27, up 0.4 points on a year ago. International and the non-branded plantation business improved a lot, while India margin dipped on tea and salt cost inflation. Price increases in tea and salt start feeding in from Q3 and management expects margin expansion versus last year in the second half (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY25	Growth businesses to reach 30% of India business	28% in FY25, 31% in FY26, 38% now	Delivered (a year late)
Q2 FY25 (Oct 2024)	Growth businesses to grow about 30%	Grew 15% that quarter; 24% organic for FY25 and FY26; 40-47% in FY27 so far	Partly, now ahead
FY26	Capital Foods and Organic India 25-30% growth	Grew 8% combined (shipping disruption)	Missed
FY27 (start of year)	Margin up 50-70 basis points	H1 margin up 60 basis points; held 'aggressively focused on expanding margins'	On track

The story has been steady since the acquisitions: grow the new food businesses fast, protect tea and salt, push margins up through mix. The numbers broadly followed, though the growth-business share target came a year late and Capital Foods/Organic India missed in FY26.

5. Bottom line

Durable earning trigger? → YES

A named, repeated driver that is clearly in the numbers: the growth businesses are now the biggest segment in India and growing about 40%, with margins expanding.

Management consistent? → YES

Most promises were met, some late. The one clear miss was Capital Foods/Organic India in FY26, blamed on shipping, and it has since picked up domestically.

6. Checkpoints for next quarter

- India segment margin improves in Q3 as tea and salt price rises feed in
- Capital Foods and Organic India growth returns toward the 25-30% guide
- Full-year margin ends higher than last year

Sources

- Screener.in TATACONSUM concall transcripts (Aug 2024 to Oct 2026)
- Tata Consumer Products Q2 FY27 earnings call transcript, 26 Oct 2026

This is not investment advice. Do your own due diligence.